CRAIGSLIST CAR LISTINGS: INFLUENCE OF CARVANA ON THE MARKET.

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CARVANA

Carvana is a primarily online car dealership. Leveraging technology and convenience in their marketing strategies, they have managed to provide a completely new and unique way to purchase vehicles. Offering online shopping, delivery services, and financing, Carvana makes it so you can purchase a car from your living room and have it arrive at your doorstep within days.

WHAT'S HAPPENING?

Due to the rise and fall of the economy due to the pandemic, the used car market is suffering, as are the profits of used car businesses. Carvana is being hit especially hard by this market crash, and are going to need to modify aspects of their business plan in order to stay afloat.

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WHAT WENT RIGHT?

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01 PRICE STABILITY

Carvana's online-based model offers unique advantages that mitigate certain factors typically affecting car prices, such as location. By operating primarily online, Carvana transcends geographical limitations, allowing customers to browse and purchase vehicles from anywhere.

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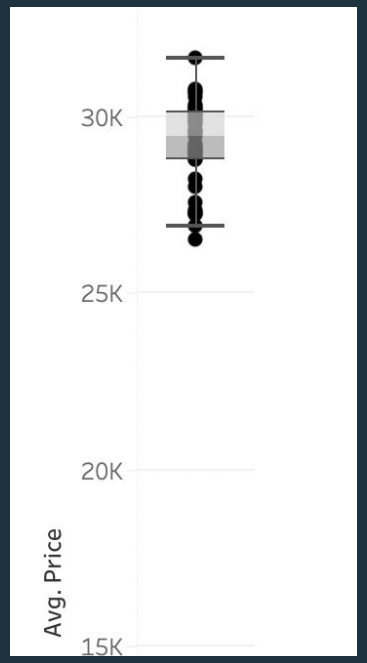
PRICE STABILITY

Carvana



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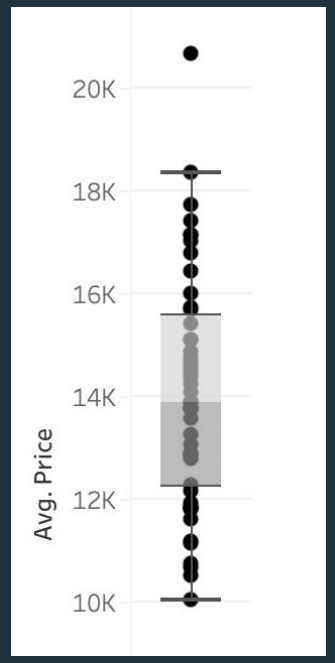

NUMBERS

STDEV Craigslist: $10,900.44

STDEV Carvana: $8,324.59

CV Craigslist: 79%

CV Carvana: 29%

The stability in pricing demonstrated by Carvana gives customers a transparent and predictable market to purchase from.

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02 MARKET TRENDS & SUCCESS

Carvana legeraves its marketing standpoint by segmenting the market and advertising on third-party websites, such as Craigslist, Cars.com, as well as having a sufficient budget for social media and commercial advertising as well.

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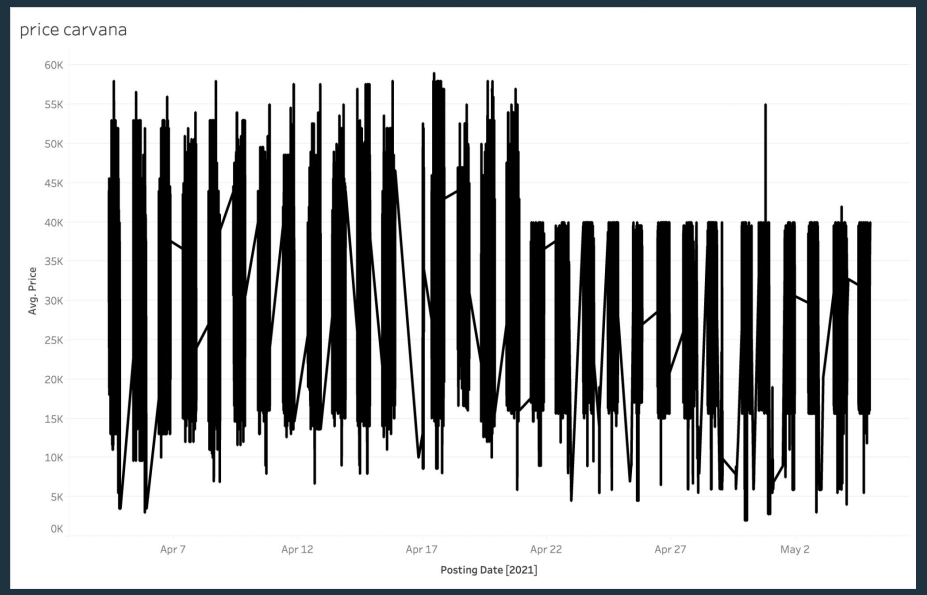
MARKETING TRENDS

Price for every listing by date



- 33% of all used car ads on Craigslist during this time frame were from Carvana
- Starting on April 20th, Carvana began only advertising cars that were priced at $40,000 or below.
- Average price for all cars listed: $18,882

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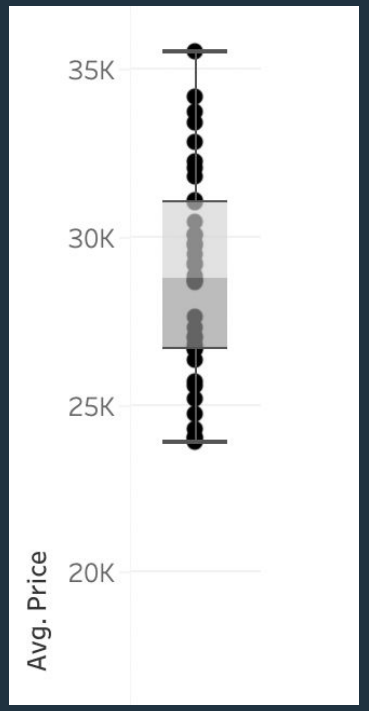
LOCATION LEVERAGE

Carvana



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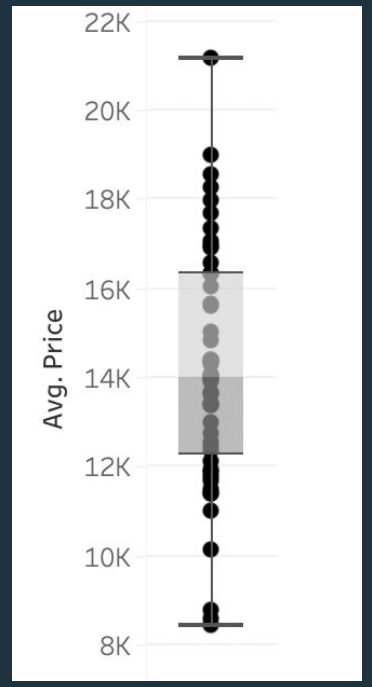

- Since Carvana's market is almost fully online, they have the ability to sell any car, anywhere. This gives them more room to invest in various types of inventory because location is not something they have to consider
- For example, the price distribution by state for convertibles on Carvana compared to Craigslist is much more concise, meaning that they are able to price these cars closer to market value and won't upcharge varied on location.

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WHAT WENT WRONG?

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03 CURRENT MARKET

The pandemic likely helped boost Carvana's sales due to the fact that many people sought to shop online throughout the past few years. However, with the pandemic coming to a close, used car markets, specifically online car markets, are facing the repercussions of what could soon become a recession. Even after considering the previous positive aspects of the company, they still have had a $500 million loss in the fourth quarter of 2022 (*The New York Times*).

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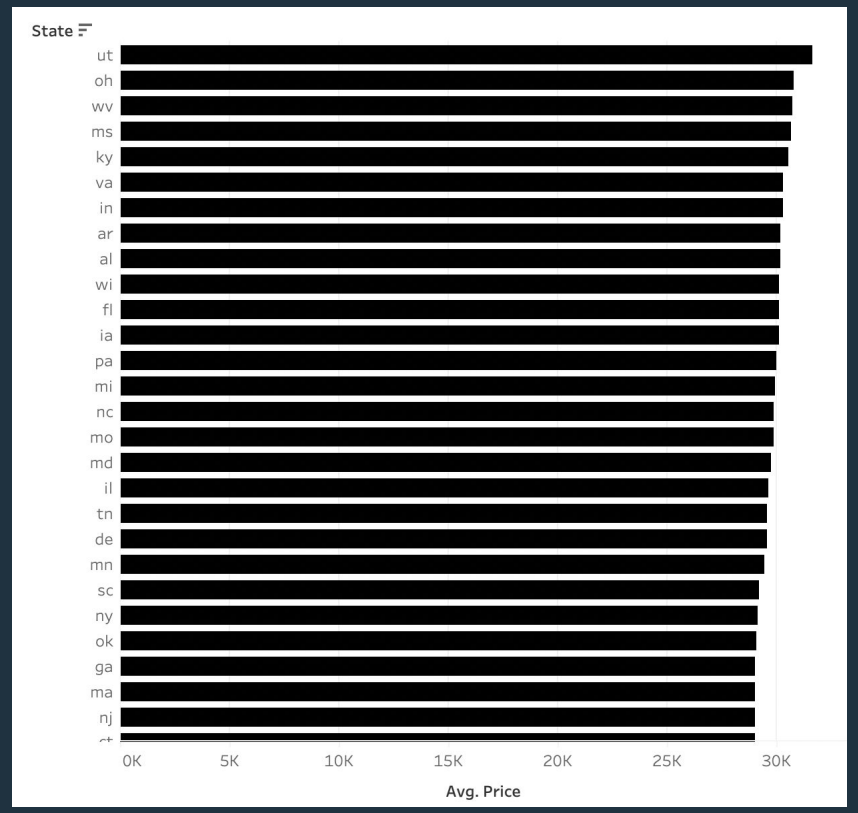
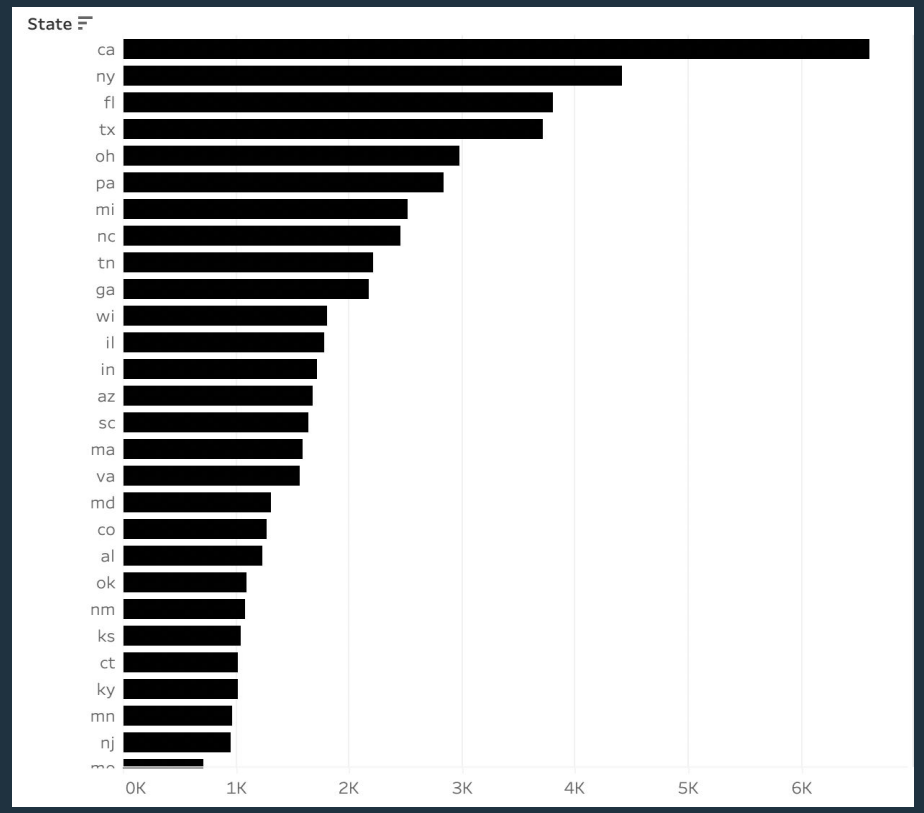
MARKETING

AVERAGE PRICE BY STATE



NUMBER OF LISTINGS BY STATE



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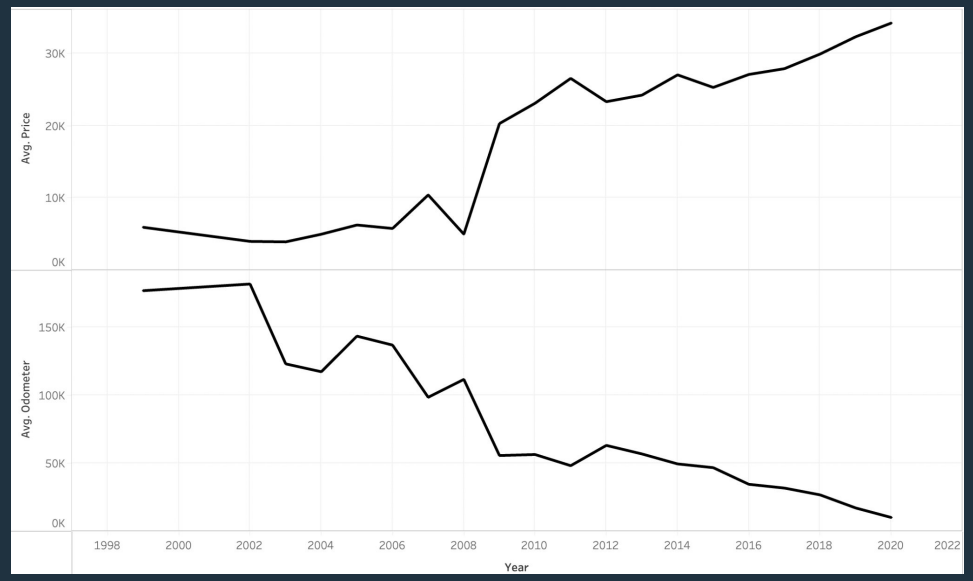
INVENTORY AND PRICE SELECTION

Price and Odometer by Year



Using a predictive model with data gathered from Craigslist, Carvana is able to predict the price that a car will sell for in the regular market on Craigslist using year, odometer, and manufacturer. By using these numbers, Carvana can narrow down the cars they decide to advertise and narrow down their target market by only advertising vehicles that fit into the average price range.

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SUGGESTIONS & EXPANSIONS

- **Market Research**

Advertise cheaper cars in parts of the country that would be more likely to buy cheaper cars, and vice versa. Use location leverage more to their advantage because this is what differentiates them from other dealerships.

- **Price Selection**

Carefully select prices and make sure to use marketing strategies to advertise these cars in their respective market segment. Use a predictive model to see how much a car would likely be priced at if posted privately on one of these third party websites.

- **Market Segmentation**

Choose a market carefully and stay consistent. Set a lower price cap when advertising on 3rd party websites that have a lower average price, in order to avoid the impression of being overpriced.

- Success of advertising on 3rd party websites.

- Analyzing financials on sold cars.

- Market analyzation on the used car market after the pandemic

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APPENDIX

1 New York Times *The Pandemic Used Car Boom is Coming to an Abrupt End* www.nytimes.com/2023/01/30/business/economy/used-cars-carmax-carvana.html

2 Data sourcing *Used Cars Dataset* https://www.kaggle.com/datasets/austinreese/craigslist-carstrucks-data

3 Data Quality - The data was somewhat incomplete but variables were consistent throughout.

4 Data Cleaning - Data was cleaned using R to remove outliers and null data points.

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